

Marg ERP — Business Logic

Companion to: [White paper](#)

Source: Public product copy and help articles on margcompusoft.com and Marg CARE (ERP-to-ERP).

Scope: Logical operating model as marketed. Internal source code, unpublished Control Room flags, and partner-specific customisations are out of scope.

This document describes **who acts, what objects exist, which rules fire, and how value moves** through the Marg ecosystem.

1. Design principles (inferred)

1. **Invoice is the system of record for stock and tax.** Every sale/purchase mutates inventory, party ledger, GST registers, and (optionally) e-invoice / e-way / WhatsApp.
 2. **Pharma/FMCG physics first.** Batch, expiry, MRP, scheme (free/bonus), and HSN are first-class, not afterthoughts.
 3. **Network beats data entry.** ERP-to-ERP, photo/PDF purchase import, and eRetail exist to eliminate typing between trading partners who already run Marg.
 4. **Compliance is a pipeline, not a report.** Bill → IRN / e-way → GSTR JSON/Excel/CSV → portal.
 5. **Role-split mobile.** Owner, retailer, salesman, and delivery staff get different apps, not one mega-app.
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2. Actors and roles

Actor	Typical product	Primary jobs
Chemist / medical retailer	Chemist / Pharmacy / Retail	Counter billing, expiry, substitutes, ABHA/DHC extras, order from stockist
Kirana / grocery / garment / jewellery / salon / restaurant	Vertical retail / POS	Fast POS, barcode, schemes, multi-tender
Pharma / FMCG distributor / stockist	Distribution / Pharma software	Receive chemist orders, godowns, schemes, e-way, collections
Manufacturer	Pharma ERP / Manufacturing	RM-PM-SFG-FG, costing, production, excise/gate pass (legacy), GST
Field salesman	eOrder / SFAXpert	Book orders, collect, GPS
Delivery staff	eDelivery	Dispatch, proof of delivery, rack/mobile rack
Business owner	eOwner / Marg Cloud	Multi-branch KPIs, credit, cash

Actor	Typical product	Primary jobs
Accountant / CA	GST modules, CA community	Returns, TDS/TCS, audit packs
Partner / BSS	Partner portal, BSS login	Sell, implement, AMC, training
Bank	Connected banking	NEFT/RTGS, reconciliation
GSTN / NIC	e-invoice, e-way, GST portal	Statutory IDs and filings
Patient / end consumer	POS, MargMart, Digital Healthcare, My Shop QR	Buy, scan QR, consult, loyalty

Access pattern: Silver edition sells “1 full + 1 view-only”; Gold sells unlimited users. User-wise / counter-wise / shift-wise cash is a first-class retail control.

3. Core domain objects

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Company (GSTIN, FY, branches)
├── Godown / Store / Rack
│   ├── Item (HSN, salt, schedule, barcode)
│   │   └── Batch (qty, MRP, expiry, rate, scheme)
├── Party (customer / supplier / doctor)
│   └── Ledger + CreditLimit + Outstanding + PDC
├── Document (SO, PO, SI, PI, DN, CN, Payment, Receipt, JV)
├── TaxLine (CGST/SGST/IGST, TCS, TDS)
├── Scheme / Discount / Loyalty
└── Claim (purchase/sale claim vs company)

```

3.1 Item master (especially pharma)

- Identity: name, pack, company, HSN/SAC, barcode.
- Clinical/trade: salt composition, substitutes, Schedule H / H1 / narcotics / TB reporting flags.
- Planning: reorder level, fast/slow/non-moving classification, focused vs dump vs near-expiry buckets.
- Mapping keys for ERP-to-ERP and purchase import (local item ↔ distributor item).

3.2 Batch

- Quantity on hand per godown.
- Expiry date; near-expiry window drives alerts and return-to-supplier workflows.
- MRP vs sale rate vs scheme (free qty).
- Indexing often by expiry (FEFO-style usage is implied by “expiry management”).

3.3 Party

- GSTIN, billing/shipping, credit limit, salesman, beat (distribution).
- Family ledger group (chemist: one family, many patients).

- Doctor (for commission / company-wise sales reports).
- Distributor mapping for ERP-to-ERP.

3.4 Commercial documents

Document	Effect
Sales invoice / POS bill	–stock, +receivable or cash, GST out, optional IRN, WhatsApp
Purchase bill	+stock, +payable, GST in, claim tracking
Sales/purchase order	Reservation / pipeline; ERP-to-ERP SO lands as order on distributor
Debit / credit note	Tax and value correction
E-way bill	Movement compliance above threshold
Payment / receipt	Ledger + reconciliation; MargPay auto-links bill
Production / issue / receipt	Manufacturing inventory state changes

4. End-to-end process flows

4.1 Retail counter (happy path)

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Scan/search item (barcode | name | salt | substitute)
  → Select batch (prefer valid, non-expired; warn near-expiry)
  → Apply MRP, discount, scheme, GST (CGST/SGST or IGST)
  → Tender: cash | UPI | card | wallet | credit (check live credit limit)
  → Print / WhatsApp invoice
  → Decrement batch qty; update cash drawer / shift; queue GST register
  → Optional: ABHA 2.0 line (chemist incentive), DHC upsell, loyalty points

```

Rules

- Do not sell expired batch; alert near-expiry.
- If customer credit limit exceeded, notify during billing.
- Multi-tender allowed; denomination tracking for cash.
- User/counter/shift isolation for cash summary.
- Substitute suggestion when asked SKU is missing (salt match + supplier location via PharmaNXT).

4.2 Purchase and replenishment

```

Trigger: reorder report (sale velocity | profit | stock days | shortage)
  or ERP-to-ERP cart
  or Photo / PDF / Excel / CSV of supplier bill
  → Map lines to item master
  → Create purchase / GRN
  → Receive batches (qty, expiry, MRP, free qty)

```

- Book payable; GST ITC register
- Register purchase claim if scheme/company benefit exists

Rules

- Prefer import over typing (“100% accuracy” claim).
- Map unknown SKUs before posting.
- Free/bonus qty from schemes must land as stock without inflating purchase value incorrectly (scheme engine).
- Near-expiry and dump stock feed “push sale” and return-to-supplier.

4.3 ERP-to-ERP ordering (two-sided)

Retailer setup

1. Map distributor party.
2. Map items (including bulk auto-map).
3. Browse live stock, rate, scheme on distributor.
4. Cart → Place order (Transaction > ERP to ERP Order in help docs).

Distributor setup

1. Master > eBusiness Setup → Register company.
2. Receive orders into ERP (no phone/WhatsApp typing).
3. Shortage visibility; convert to invoice / pick / dispatch.

Network rule: both ends must be on Marg; value is error reduction and speed, not a public open marketplace.

4.4 Distribution / warehouse

Inbound order (ERP-to-ERP | eOrder | phone entered)
→ Allocate batch (FEFO / scheme / MRP constraints)
→ Pick (rack / mobile rack)
→ Invoice + e-invoice (IRN) + e-way if goods movement requires
→ eDelivery assign
→ Proof of delivery → receivable
→ WhatsApp reminder if overdue

Rules

- Multi-godown stock truth.
- Credit limit on chemist.
- Scheme date/qty/batch conditions.
- Expiry returns to principal to avoid dump loss.

4.5 Manufacturing (pharma ERP pages)

Inventory layers: **raw material, packing material, semi-finished, finished goods.**

Plan production → issue RM/PM → process / assemble → receipt FG
→ Cost rollup (bulk vs FG)
→ FG batch + expiry
→ Sale as in distribution
→ Wastage analysis, multi-store

Supporting: production planning, costing, gate pass / invoice, multi-warehouse, MIS.

4.6 GST “billing to filing”

Taxable document posted
→ Split CGST/SGST vs IGST from place of supply
→ If turnover/threshold: generate e-invoice (IRN); advertised ~₹0.15 / auto IRN
→ If movement threshold: e-way bill
→ Period close: GSTR-1 / 3B (and other returns as applicable), TCS/TDS
→ Export Excel | JSON | CSV to GSTN
→ Internal audit reports; GST 2.0 / IMS / GSTR-9 Table 8A readiness

Rules

- Tax computed at billing time, not as a night batch only.
- Portal visit is optional if APIs/files succeed; fallback is file upload.
- TDS/TCS calculated in accounting, not only in GST returns.

4.7 Money movement

Invoice outstanding
→ Reminder (WhatsApp / SMS / email)
→ Collect: cash | cheque/PDC | MargPay QR/UPI | connected NEFT/RTGS
→ Auto reconcile (140+ banks claimed)
→ Bill-by-bill matching

MargPay commercial rule (as advertised): 0% service charge to merchant; 2% cashback for retailers (verify contractually; this is marketing).

4.8 Multi-company / multi-location

- Company is a licensed object (Nano/Basic cap at 2; Gold unlimited).
- DMSXpert / Marg Cloud: central users, branches, logs.
- Stock and books can be per location with consolidated owner view.

5. Decision and calculation engines

5.1 Tax

- **Intra-state:** CGST + SGST.
- **Inter-state:** IGST.
- HSN from item; GSTIN from party; place of supply from shipping.

- Reverse charge / TCS / TDS when nature of supply requires (feature-listed, not fully specified publicly).

5.2 Price and scheme

Inputs: MRP, party rate list, date-effective scheme, qty slabs, free goods, combo, loyalty, making-charge/weight/purity (jewellery), doctor commission (chemist).

Output: net taxable, discount, free qty, tax, margin reports.

5.3 Inventory health

Classification used in copy:

- Fast / slow / non-moving
- Focused / dump / near-expiry
- Reorder from sale, profit, or stock-cover days

Alerts: low stock, expiry, payments.

5.4 Credit

Live check at invoice time; notifications; outstanding ageing; PDC.

5.5 Jewellery-specific (vertical overlay)

Weight × rate × purity + making charges; old gold exchange; karigar/repair/approval; high-value barcode/tag.

5.6 Restaurant-specific

Dine-in / takeaway / delivery; KOT to kitchen; bill split; dish popularity.

6. Integration logic

Rail	Business effect
GSTN / e-invoice / e-way	Legal invoice identity and transit
WhatsApp / SMS / email	Invoice delivery and collection
Banks (ICICI, Axis, SBI, J&K, IndusInd, 140+ recon)	Pay out and auto-match
Barcode / pole display / cash drawer / touch POS	Counter speed
MargMart / My Shop QR	Consumer or retailer self-order
ABHA 2.0 / Digital Healthcare	Chemist extra income (e.g. ₹20 per ABHA billing in campaign copy)

Rail	Business effect
OCR / photo-to-purchase	Inbound invoice capture

7. Reporting (decision layer)

Advertised **1,000+ MIS reports**, including:

- GST, trial balance, P&L, balance sheet, cash flow, ledger
- Stock, expiry, dump, reorder, godown
- Salesman / counter / shift / day cash
- Doctor commission and company-wise pharma sales
- Claims and scheme benefit tracking
- Production costing and wastage (manufacturing)

Operating rule: operational users live in transaction screens; owners live in eOwner + MIS; accountants live in GST and financial statements.

8. Licensing logic (commercial rules)

- Geography: India & South Asia (INR) vs rest of world (USD).
- GST 18% extra on license.
- Extra **user** and extra **company** are billable SKUs except Gold (unlimited).
- Customisation is a separate SOW.
- Unauthorized marketplace purchase → no official support.
- Attach products (Cloud, Books, Pay, e-invoice per IRN, healthcare, training) stack on the core license.

9. Control and security (as claimed)

- User rights (full vs view-only).
- Counter and cash-drawer access.
- Marg Cloud: branch, user, data, log control.
- “7-layered data security”; Azure encryption mentioned in third-party interviews for cloud.
- Audit-ready books for GST and internal audit.

10. State machine (document)

```

Draft → Confirmed/Posted → (IRN assigned) → (E-way assigned)
      ↓
    Partially paid → Settled
      ↓
Credit/Debit note / Cancel (statutory rules)

```

Inventory moves only on **posted** goods documents. GST registers move with posted taxable documents. Bank/cash moves with payment documents. ERP-to-ERP orders are **pre-invoice** states on the distributor until billed.

11. Value-chain map (pharma)

```
Manufacturer (Marg Manufacturing)
    ↓ FG invoices + e-way
Distributor / Stockist (Marg Distribution)
    ↓ ERP-to-ERP / eRetail / schemes
Chemist (Marg Chemist)
    ↓ POS + GST + optional ABHA/DHC
Patient
```

Marg's distinctive business logic is **closing the middle arrow** so the chemist's shortage becomes a structured order on the stockist's ERP, with shared item mapping, live rate/scheme, and no re-keying.

12. Implementation checklist (logical, not a user manual)

1. Create company, FY, GSTIN, godowns.
 2. Load item master (or PharmaNXT-assisted).
 3. Opening batches with expiry.
 4. Party masters + credit limits + GSTIN.
 5. Tax and series (invoice numbering).
 6. User roles and counters.
 7. Bank and MargPay.
 8. e-invoice / e-way credentials.
 9. Distributor/item mapping for ERP-to-ERP.
 10. WhatsApp templates; reorder parameters; scheme calendar.
 11. Go-live parallel run; partner AMC and GST update channel.
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Figures, prices, and slogans are taken from Marg's public site as of August 2026 and may change. Use this as a product/domain blueprint, not as a contract or statutory opinion.